

Extreme heat and severe drought took their toll on Hungary in August. Consumers appeared to cut back on trips to stores, but industrial production proved surprisingly resilient. Low river levels created additional headaches, but the economic recovery wasn't washed away completely



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As we near the end of the year, it is becoming increasingly clear that retail sales and industrial production are set to contribute positively to economic growth in Hungary, as we expected.

The sawtooth pattern in industrial production appears to have faded, strengthening the case for an industrial recovery. Retail sales lost momentum towards the end of the summer, but strong consumer confidence and rising real disposable incomes should help consumption regain momentum in the coming months.

Hungarian industry is fighting back

8.7%

Industrial production (YoY, wda)

ING estimate: 3.7% / Previous: 4.7%

Hungarian industrial output delivered a significant positive surprise in August. Based on the pattern of recent months, we had expected a month-on-month decline. Instead, industrial output rose by 1.0% MoM. Helped by last year's low base, the working-day-adjusted yearly growth rate jumped to 8.7%, its strongest reading since late

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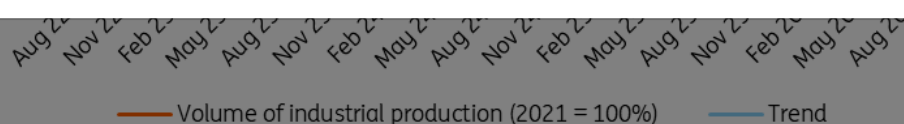
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Source: HCSO, ING

It is encouraging that the Hungarian Central Statistical Office (HCSO) does not list the energy sector among the negative contributors. This suggests that the impact of the Paks Nuclear Power Plant's temporary partial shutdown and voluntary production cuts by private sector companies on overall industrial output may have been smaller than expected. The detailed data

may, of course, still add some nuance to the picture. Meanwhile, the construction of the Danube riverbed still probably provided some support to mining and quarrying, one of the smallest segments of Hungarian industry.

Looking ahead, soft indicators also point to continued recovery. Business confidence rebounded in September following its sharp drop in August, as the energy crisis eased and voluntary production cuts ended. Order books also suggest that the ramp-up of new manufacturing capacity will continue to provide meaningful support to industry, although growth is likely to remain concentrated in only a few sectors, affecting a handful of products.

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On the upside, the European economy's better-than-expected resilience could support a stronger recovery in external demand. Conversely, elevated energy prices and supply-chain disruptions stemming from geopolitical tensions in the Strait of Hormuz and the Red Sea remain important downside risks.

Industrial output was 3.4% higher in the first eight months of the year, meaning that our forecast of 3-4% growth in 2026 still looks comfortably achievable. The industrial turnaround therefore looks increasingly convincing. The next major test will be whether growth can spread from a few isolated pockets to the industry as a whole.

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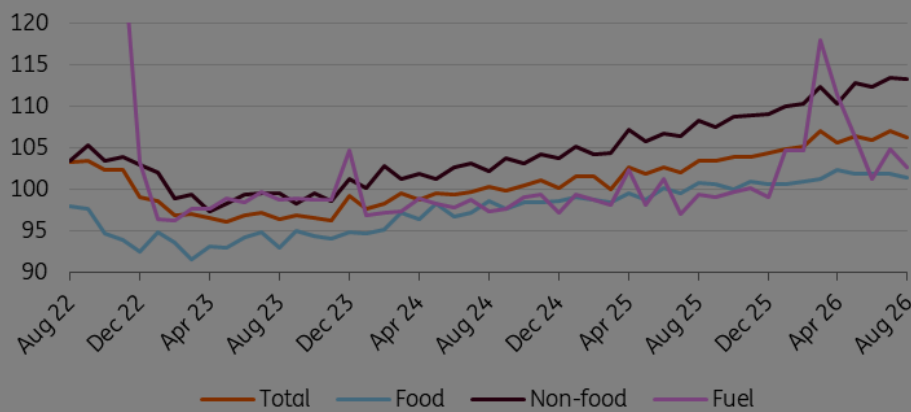
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in certain product categories. Instead, Hungarian consumers appear to have responded differently from what historical patterns suggested.

Retail sales volume in detail (2021 = 100%)



Source: HCSO, ING

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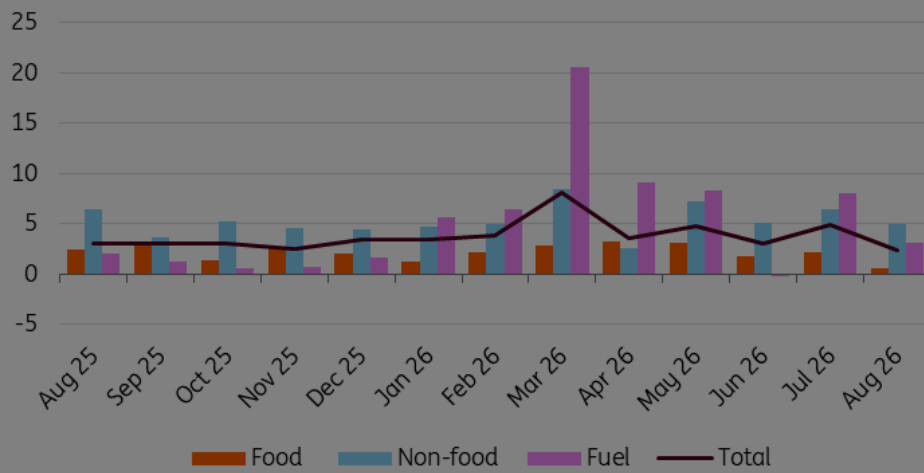
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concentrated in stores selling food, beverages and tobacco, we cannot rule out the possibility that households shifted some purchases to online channels to avoid the heat. Fuel sales, meanwhile, dropped by 2.1% compared to the previous month. Given the sharp increase in fuel prices, this suggests a relatively strong demand response to higher prices. The weakness in August retail sales can therefore be partly attributed to lower fuel purchases.

Breakdown of retail sales (% YoY, wda)



Source: HCSO, ING

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ultimately, household consumption.

Retail sales

Manufacturing

Industry

Hungary

GDP

Consumption

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